



CIMA STRATEGIC CASE STUDY

Mock Exam 1

Rotomyne

Suggested Solutions

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Task 1 - Solution

From: Senior Manager (SM)

To: Martin Jacobs, CFO

Subject: New brine mine planning permission and financing

Hi Martin,

Thank you for your email. In response to your request, I will recommend a number of safeguards for the planned protests in order to reassure our bank, the construction firm and local protesters so that we have their support. Additionally, I will discuss the different factors to consider when choosing between debt or equity finance and conclude by providing my recommended type of project finance.

Sub-task (a) - 55%: Safeguards against protests

1ai - Safeguards: bank, construction firm & protesters

Bank safeguards

Often, banks fund projects that prove to be controversial and, as the money behind a project, they are often seen as legitimate targets for protestors to vent their anger and concerns, such as with Irish protests against ACC Bank in 2016. To prevent fear of this type of exposure, we could offer our bank (who is financing our brine mining project) a confidentiality agreement. This would prevent our bank from being identified and targeted by protesters, so it should reduce the likelihood of straining our relationship with the bank.

That said, the bank's most likely concern may be that we would incur significant additional costs because of the potential protests. For example, the hiring of an external security firm and higher commercial insurance premiums and project delays. As a result, we may struggle to maintain our cash flows due to extra security-related costs and financing project delays.

To mitigate this risk, we would need to have a contingency plan in place. For example, we could organise a token media event to attract protesters, hopefully limiting the protests to this planned event and consequently causing little financially damaging disruption.

Any protests on our sites would be considered trespass, and we should be prepared for this by doing research on legal remedies so that we are clear about our ability to remove protesters. The removal of protesters should obviously be done without any injuries to

them, but we should be unafraid of prosecuting in order to protect ourselves against further intruders.

In order for us to be able to react quickly and effectively, we should also have our lawyers draft the necessary applications for court injunctions or other legal remedies. In addition, we should liaise with the local police service so that we can reassure the bank that any legal remedy can be enforced.

Construction company safeguards

The construction company would have very similar concerns to that of the bank regarding site security. The company would not wish to get bad publicity, which may affect its reputation in the future. Also, it would not want to get caught up in delays to the project.

For example, a delay in the delivery of the brine mine's pumping equipment due to a blockade of the site entrance would affect the construction company just as much as ourselves! Our contract with them would have to clarify the consequence of any delays due to protests in terms of the application of penalty clauses.

Further to this, we may be able to reduce the threat to employees by having multiple routes to and from the planned construction site. If construction workers and delivery drivers can be directed to a number of possible routes, then it would be more difficult for protestors to target or delay them.

This may also improve the safety of the construction company's workers and their equipment, which is paramount! Another solution to this would be to take out insurance against any injury or damage caused by protestors so that we could indemnify the company.

Additionally, we could hire a private security company to be in attendance to protect the site and equipment and to remove (without injury) any protestors. This is important because the construction company would also be concerned about the legal and moral implications of injuring a protester who gets in the way of heavy equipment.

In terms of the site itself, there should be a secure area for equipment that is parked overnight. Even a non-violent protest could involve disabling equipment by tainting fuel tanks or removing components. In more disruptive protests, these vehicles could be severely vandalised.

Protester safeguards

Globally, lithium extraction often attracts environmental protests by local communities. For example, in 2020, in Chile's Atacama region, the local indigenous communities protested over fears that brine mining companies SQM and Albemarle were reducing their freshwater supplies, leading to water scarcity. Likewise, we are also facing water depletion protests. We have an ethical duty to both respect the communities' right to protest as well as to protect non-violent protesters using various safeguards as follows:

Protection from the sun - The construction site is in an arid area, and there is a risk of dehydration. We should **provide ample water bottles to keep protesters hydrated**, especially if the protest occurs in hot weather. We should also **set up hydration stations where protesters can refill their water bottles**. This would send protesters a strong message that we do care about their well-being and access to drinking water.

In addition, we should **encourage protesters to wear hats and sunglasses** as this would protect them from sun exposure. **The provision of shaded areas or tents where protesters could take breaks** from the sun would also help them. We could also consider providing them with sunscreen.

Personal protective clothing - We should advise protesters to **wear comfortable, weather-appropriate clothing with sturdy footwear**. The Drylandian police are known to be heavy-handed, so we should recommend protesters **bring protective gear, such as masks, goggles, and gloves**; this would protect them in case the police use tear gas or other irritants to disperse crowds that become violent. Hopefully, this protective equipment is not needed.

First aid and medical personnel - Any injury to protesters would be publicised and will show us in a bad light. We should ensure that **trained first-aid and medical personnel are present at the protest site**. We should also set up **clearly marked first-aid stations** where protesters can receive medical attention if required.

Police conduct - The police should be trained to handle protests with restraint and respect for the rights of protesters. We should remind them that the use of force should be a last resort and that non-violent methods should be used first. Also, the police should clearly communicate with protest organisers and participants to ensure mutual understanding and cooperation.

Onsite security company conduct - We have some security onsite, but we would hire external security guards, too. All security personnel (permanent and hired) should be briefed on the importance of respecting protesters' rights. Their role should be as facilitators rather than enforcers, helping to maintain order without escalating tensions.

We should also ensure security personnel are easily identifiable and approachable for assistance. Also, it would be useful to have legal observers present to monitor the conduct of security personnel (as well as the conduct of the police), just in case there are crowd control issues.

Sub-task (b) - 45%: Finance factors; Recommendation

1bi - Equity and debt finance factors

When choosing an appropriate source of finance to fund the new brine mine project, Rotomyne will have to consider a wide variety of factors. These are discussed below.

Gearing and financial risk

Gearing will be reduced by equity finance, and the reverse will be the case for debt; the level of financial risk will increase with gearing. At present levels, Rotomyne has a gearing of 103.9% (= LT debt/equity: 5,000m/4,814m).

With an extra P\$50m of debt finance, the gearing will increase to 104.9% (= [5,000m of current debt + 50m of extra debt] / 4,814m of equity). This is marginally higher than before, but it does increase our financial risk. If equity finance is used, then gearing will decrease to 102.8% (= 5,000m of debt / [4,814m + 50m of new equity]).

Rotomyne could take out a bank loan or issue a variety of forms of long-term debt (e.g. bonds), which could be secured or unsecured and redeemable or irredeemable. All these features would influence the interest paid and, ultimately, the degree of financial risk.

In terms of equity, Rotomyne could issue a variety of shares (i.e. ordinary or preference shares). The type of equity would affect the level of dividend paid to shareholders, with preference share dividends being paid out first. The shares could be issued to current shareholders or to external investors. The benefit of equity finance is that it does not introduce financial risk.

Target capital structure

The opportunity cost of a firm's capital represents the return the firm needs to earn to satisfy its investors. This cost comes from two main sources: debt (money the company borrows) and equity (money from shareholders).

To calculate the overall cost, we take the weighted average of the costs of both debt and equity, known as the weighted average cost of capital (WACC). Debt is cheaper because the interest the firm pays on it is tax-deductible, meaning it reduces the amount of tax we owe. This lowers the WACC.

There is an ideal balance between debt and equity where the WACC is at its lowest, and at this point, the company value is maximised. This balance ensures we can fund our operations at the lowest possible cost while delivering the best returns to investors.

At Rotomyne, we should seek to minimise our WACC and, hence, maximise our shareholder returns. Thus, a proportion of debt would improve the WACC, but we need to be aware that debt would increase the risk of financial collapse.

Availability of security

Rotomyne's debt may be secured on certain assets. If we were to finance the brine mining project via additional debt funding, this may have to be secured against some of our assets. At present, we have long-term assets of P\$9,410m, of which P\$7,270m is in property, plant and equipment.

Our assets appear to offer a good degree of security; however, the existing debt of P\$5,000m is most likely secured against some of our assets already (albeit a floating charge or on specific assets). It is unclear which of the remaining assets can act as security, and this would need to be determined first.

Control issues

Rotomyne is embarking on geographic expansion to help increase revenue and profitability. As such, we need control to implement the strategy. Financing via debt (e.g. bond issue or bank loan) may lead to a loss of control due to restrictive covenants. These covenants can be negative (prohibitions on the borrower) or affirmative (promises by the borrower).

A rights issue (equity) maintains control as shareholders retain their existing levels of control, providing the rights issue is fully taken up. We could also issue shares to new shareholders, but this would reduce the control of existing shareholders. Generally, rights issues are used for medium-sized issues (as would be the case here), and large issues are aimed at new shareholders.

1bii - Recommended financing

Recommendation

Considering the above, I recommend that debt finance (via a bank loan) be used to finance the new brine mine project. This is because it would have a minimal impact on our currently high gearing. At present, it is 103.9%; with the extra debt of P\$50m, this would only increase marginally to 104.9%.

Also, debt would have the benefit of reducing our tax liability because the loan interest charged is tax deductible. If we could get a good interest rate for the extra debt required, then this would also help improve our overall WACC. This is because the cost of debt would be cheaper than the cost of equity.

There may be a loss of control due to a restrictive covenant imposed by the lender. This covenant could be negative (prohibitions on us as the borrower) or affirmative (promises by us as the borrower). However, this may not be a major concern given the size of the extra debt required.

The form of debt finance should be a bank loan. This would be the best way to raise the P\$50m funds required because we have an existing relationship with our bank. A bond issue would be less flexible, dependent on a good credit history, and would incur greater scrutiny. Also, given the amount of debt required, a bond issue is not appropriate.

The debt finance would increase the gearing (albeit marginally), so to mitigate any financial risk, we should elect for a secured bank loan against our available property, plant and equipment, which currently has a book value of approximately P\$7,270m.

It is not advisable to seek equity finance as we have a history of paying large amounts as dividends. Thus, if equity finance is sought, the cost of equity would be quite high. Also, raising equity finance takes a longer time than simply contacting the bank for an extra loan. So a rights issue is not appropriate on this basis.

Note that raising funds via equity by way of a new shares issue would not be applicable as the amount of finance required is relatively low, and, therefore, the number of shares issued would be small. Only large share issues are aimed at new shareholders.

Do let me know if you need any further clarification.

Kind regards,

SM

Task 2 - Solution

From: Senior Manager (SM)

To: Martin Jacobs, CFO

Subject: DLE plant proposal and government relations

Hi Martin,

Thank you for your email. As requested, I have provided an analysis of the new direct lithium extraction (DLE) plant project proposal along with a recommendation and action plan. I have also discussed and recommended suitable approaches to manage the relationship with the Drylandian government.

Sub-task (a) - 55%: DLE - Analysis & recommendation

2ai - DLE plant proposal: SAF analysis

The proposal

We have been experiencing environmental protests as a result of potentially opening a new traditional brine mine. The government, being keen to maintain the support of the public due to an upcoming general election, has decided to change the nature of the mining licence to one that uses the DLE method. The DLE plant proposal would help us increase our profitability, reduce our environmental impact and enable us to further expand internationally.

This proposal will be assessed using the Johnson and Scholes Suitability, Acceptability, Feasibility (SAF) framework.

Suitability

Expanding into new geographic areas and adopting DLE, which is environmentally a better lithium extraction method, is of strategic importance to our long-term competitiveness and will help us to increase our market share. This is especially pertinent as governments worldwide are unwilling to grant permission to extract lithium due to environmental damage.

The new DLE plant would help support our corporate value of operating in a sustainable way. This is because the DLE plant would be powered without any carbon emissions as it would produce its own geothermal electricity. Also, the DLE plant would use less water than a traditional brine mine and take up less land.

Lithium production time would be much faster for the DLE plant than for a traditional brine mine (three months versus 12-18 months). This is because it is not weather-dependent, as is the case with sun-dependent evaporation ponds (used in the traditional brine mines). Faster time to market would allow us to become more responsive to market demand.

On the downside, this would be a new technology. Ansoff's matrix is a model which helps assess the riskiness of strategic options based on a matrix. In this case, the DLE plant would be in the medium-risk 'New Product' box. The risks arising here are due to the new type of technology being used (for lithium extraction) and the possible teething problems which often occur with any new technology. Given the significant investment required, this could become a costly exercise if the project fails.

Acceptability

The P\$100m investment in the DLE plant is very significant, a figure which includes possible finance costs at 10%. However, the project has an NPV of P\$20m, making it financially viable. It will be beneficial to our investors (e.g. large institutional shareholders) as the project is expected to increase our revenue, profitability and presence in the market. It would thus be acceptable to our shareholders who are 'Key Players' in Mendelow's Stakeholder Matrix (as they have high power and interest).

The Drylandian government is another key stakeholder with high power and interest (as per Mendelow's Stakeholder Matrix). It is actively promoting investment by granting a DLE licence to help it gain voter support from environmentally conscious local communities. Our DLE plant project will reduce environmental impact and bring in tax revenue. As such, we would be seen as good corporate citizens (by the local communities) and win over the local government. This would help reduce any issues, especially regarding securing the DLE licence and seeking planning permission.

With their voting power in the upcoming government election, the local communities have high power and interest. They would be supportive of the DLE plant as we can demonstrate it will have less of an environmental impact (in terms of waste usage and carbon emissions). Employing staff from the local communities would also help with their acceptance of the DLE plant project.

Customers (e.g., lithium-ion battery manufacturers) are very important stakeholders in the business, and, as per Mendelow's Stakeholder Matrix, they are categorised as having high interest but low power. They will be supportive of the DLE plant project as it would have a faster lithium extraction time than a traditional brine mine (three months compared with 12 - 18 months). This would help with meeting demand.

Feasibility

Financially, a funding requirement of P\$100m for the DLE plant project is a major investment, and much more investment is required than a traditional brine mine. Our cash balance stands at P\$857m, so we would be able to afford this. We could also fund the project via equity, e.g. a rights issue (which would take time to arrange) or a bank loan, but this would impact our gearing, which is already quite high (at 103.9%).

As DLE is a relatively new technology, it is uncertain how reliable and effective lithium extraction will be. New technologies commonly have teething issues, and there may be technical issues. For example, the recovery of the lithium from the brine is 70 to 90%, but this is dependent on the quality of the extraction membrane used (based on its lithium selectivity/permeability). As such, sufficient testing of the DLE plant is required before onboarding it.

Practically, we do not have experience in the set-up and running of a DLE plant. This project would be a huge undertaking that would appear to be difficult to achieve, so external support (e.g. from consultants and suppliers) would be required. Also, tight project management would be needed to ensure there are no project delays to the opening of the DLE plant.

2a ii - DLE plant proposal: Recommendation

Recommendation

It is recommended that we proceed with the DLE plant project. This is subject to the research confirming the technical viability and scalability of the DLE method of lithium extraction. It is also recommended that we investigate the availability of funds for this international project.

Justification

Strategically, the DLE plant project would allow us to fulfil our corporate value relating to sustainability and also support our corporate mission. Without a DLE plant, we would not have met this as our current extraction methods (hard-rock mining and brine mining via evaporation ponds) have sizable environmental impacts. This strategy would also allow us to diversify into new types of extraction techniques and geographical locations, which would serve to improve our long-term competitiveness.

Our decision to use the DLE method (driven by sustainability) is in line with the strategic plans of our global competitors. For example, the world's largest lithium producer (USA-based Albemarle) is planning to use the DLE method. Also, using this method, the

French government-backed Eramet is scheduled to start producing 24,000 tonnes of lithium annually in 2025. Thus, the growth of the industry and the successful adoption of DLE by global competitors would suggest it is a strong proposition.

The current projections suggest a return of an NPV of P\$20m, which indicates a full launch would be worth undertaking from a financial perspective, assuming that the initial projections are found to hold out. Given the project would increase shareholder wealth, it would be acceptable to our shareholders (who are 'key players').

The DLE plant project would be acceptable to the local Drylandian community (which is a key player). They have been protesting due to the environmental impact of a brine mine, specifically the potential water depletion. The DLE plant would use much less water and would have minimal carbon emissions, so the local community should accept this project.

From an operational perspective, there is some risk to this project, though, as this is new technology and may cause teething problems. As such, it is recommended that a research team is immediately set up to investigate, develop, test and scale up a prototype plant before the final authorisation to proceed.

Actions to be taken

The project proposal should be presented by the Head of Mine Operations and discussed at a Board meeting with a decision to proceed. This decision should be subject to the development, testing and scalability of the DLE method of extraction. These prerequisite activities should also be agreed upon at the Board meeting.

A project team should then be set up to control and manage the development, testing and trialling of a prototype DLE plant. This team should report regularly to the Board on the progress of the project and present their final findings as soon as possible.

The CFO should then produce a revised NPV based on the project team's final revenue and cost projections. An analysis of the sources of funding (cash, debt and equity) should be presented to the Board with a recommendation to use debt funding. The debt funding should be agreed upon by the Board (before we approach the bank to secure funding).

Assuming the project is practical, feasible and financially viable, and we are granted the DLE licence by the Drylandian government, a team should be set up. The team would be charged with delivering the project. This would include activities such as plant construction, staff training, and the launch of the DLE plant. Once the plant is launched and any teething problems are addressed, it will be handed over to the business.

Sub-task (b) - 45%: Government relationship management

2bi - Government relations: Discuss and recommend approaches

The issue

We had originally entered the international country to extract lithium using a traditional brine mine. On submission of its planning permission, environmental concerns led to protests. To stop the protests and to win over the local community (in an election year), the government changed the lithium extraction licence to only allow DLE.

The issue is that we do not have experience in DLE, and competition for the DLE licence would be fierce. We would like to secure the licence as it would help fulfil our corporate value of operating in a sustainable way, improve profitability and expand our portfolio of extraction methods. Having good relations with the government should help increase our chances of securing the DLE licence. The following are suitable approaches to manage and improve our relationship with the government:

Understand the interests of the government

We should start by acknowledging that the government would be interested in our activities in various ways. For example, our DLE plant may be viewed as beneficial by the Treasury because it would generate revenue from the issuance of the licence, tax revenue and export trade.

Another government interest is our DLE plant. The plant would be environmentally friendly, especially as it would use less water than a brine mine. The brine mine planning permission caused protests by the local community, so the government is interested in having a DLE plant to ensure that the local community does not have any water usage issues. Appeasing the local community should help secure their support for the government in the upcoming elections.

Support government policies

It might be worth expressing our support for government policies that we feel are good for the country. Making comments and actions in support of these would send a message that we are behind the government and its policies.

We are aware that its government wants to limit the environmental impact (e.g. excessive water usage) of lithium extraction, and as such, we should ensure our proposed DLE plant

helps address this concern. However, there is an upcoming election, and we need to not appear as though we are campaigning for the government; we simply need to show our support for their policies that are relevant to our operations.

Minimise damage

The government's environmental department may view our activities as extractive and liable to damage the country's ecology. Globally, we have six hard rock mines and three traditional brine mines. These have impacts on carbon emissions, water consumption, and land usage, and this is of interest to the environmental department. Additionally, the proposed site for constructing the DLE plant may be a scenic area and a habitat for wildlife, which raises further concerns.

To manage these concerns, we must explain that the proposed DLE plant would not take up much land and stress the limited environmental impact. It is unlikely that it would be possible to reconcile all of the different concerns of the environmental department, so we have to aim to ensure that we maximise our positive contribution in order to maximise the support from the government.

At the same time, we must ensure that we minimise the negative environmental impacts so that the environmental department does not feel that it has to act against us in any way. One way to ensure the support of the department is to show them plans on how we would reduce environmental impacts.

Lobby the government

The most sensible approach to managing our relationship with the government is to cultivate a closer bond with the government. This is so that we are aware of the issues and focus areas (e.g. which environmental issues are its priority, e.g. carbon emissions, water depletion, ecology, etc.).

We might simplify the process of developing government links by engaging a lobbying company to make the introductions that we need. Lobbyists would also understand the attitudes of government officials and politicians and would be able to advise us. We could then take steps to cater for their needs and wants.

Get the support of the press

The national press would have a key role to play in our political visibility. We need to develop a good relationship with the main newspapers and news broadcast media. For example, we should be very clear about our goals (e.g. we are focused on sustainability)

and should publicise any positive news. If the press is supportive, then politicians would be less likely to interfere with our interests.

Avoid breaking laws

We should be conscious that our behaviour would be scrutinised and possibly criticised, even if we do not do anything that is technically illegal. We should ensure that our behaviour is above reproach in all respects. For example, we should take care of our employment practices so that there is no danger that we will be accused of discrimination or exploitation.

Seek local business

It might also help if we could use local suppliers and develop local sources of funding for our proposed DLE plant. Doing this would show the government that we are supportive of local businesses, banks and investors. Furthermore, local partners would have an incentive to assist us in developing local ties to the country and ensuring that we are perceived in a positive light.

Sponsor government events

Whenever an opportunity presents itself to sponsor government events or events that the government might be interested in, we should take it. This will compel the government to recognise us and be very interested in the success of our company so that we can sponsor more events in the future. However, we need to be careful not to overdo this, as it might send the wrong message to the public and local communities.

If you have any further questions, do let me know.

Kind regards,

SM

Task 3 - Solution

Briefing note: JV governance, political risk management, and sustainability training

To: Martin Jacobs, CFO

From: Senior Manager (SM)

Hi Martin,

Thank you for your email. Following your request, please find below my discussion on the corporate governance requirements for the joint venture (JV) and how these would be fulfilled. Please also find my discussion on how a JV with a Drylandian company would help manage political risks. I have also included the evaluation and recommendation of sustainability training.

Sub-task (a) - 60%: JV corporate governance

3ai - JV corporate governance requirements - NEDs

Introduction

Good corporate governance would be required for the JV in order to manage strategic risks effectively. It would **reduce risks** for our shareholders and other stakeholders (e.g. the Drylandian government and the local community). In addition, it would **enhance transparency and would allow for timely and clearer communication** of information. It would also **improve the performance and leadership of the JV's Board**.

Key roles of NEDs

As per the corporate governance requirements, there are a number of key roles the non-executive director (NED) would need to undertake in the JV. These consist of a strategy role, a scrutinising role, a risk role and a people role. These are discussed below.

In the strategy role, the NED must challenge and advise on JV's strategy as well as contribute towards strategic success. **In the scrutinising role**, the NED must hold all our JV's executive directors accountable for decisions that have been made and the results achieved. For instance, if the JV's Board plans on using debt to finance the DLE plant, the NEDs should challenge this to ensure that it is the right decision.

In the risk role, the NED should ensure that an adequate system of internal controls and risk management systems are in place at the JV entity. At Rotomyne, we report our principal risks in the annual report, and we also have a risk committee. This good practice

should be replicated in the JV entity. In addition, given the strategic risks we would face as a result of the DLE plant project, it is also recommended that the effectiveness of the risk committee should be monitored.

In the people role, the NED should oversee the appointment and remuneration of executive directors as well as get involved in contractual and disciplinary issues. As the JV entity is yet to be set up, it would be more convenient and faster for Rotomyne's current appointment and remuneration committees to hire and set the pay of the JV's executives (discussed later).

Independence of NEDs

It is a corporate governance requirement that NEDs are independent so that they represent the interests of the shareholders. The main ways the corporate governance guidelines judge an NED's independence are as follows:

- The NED has not been a company employee within the last five years;
- The NED has no close family ties;
- The NED does not hold cross-directorships;
- The NED is not a major shareholder;
- The NED has not served on the Board for more than nine years since the first appointment;
- The NED does not have a material business relationship within the last three years.

In terms of the JV, it is recommended that the above checks are to be applied to prospective JV NEDs to ascertain their independence. It is also recommended that we check that none of the NEDs have a major shareholding in the JV. We should also check they do not have cross-directorships, as this would impact their independence. A cross-directorship exists when two (or more) directors sit on the Board of the other. In the majority of cases, each director's 'second' Board appointment is most probably as an NED.

NED skills

The corporate governance guidelines require the use of skilled NEDs as well as the NEDs having complementary skills. This is to overcome the risk of a lack of wider business knowledge on the board and a lack of diversity in decision-making. It is sound corporate governance to have at least one NED with financial skills, too.

In terms of the JV, we would seek an NED with financial knowledge, preferably an accountant or similar. This would help with the financial forecasts and managing the JV

finances. We should also have an NED with experience in the lithium mining industry to help in decision-making.

Balancing the Board with NEDs

The corporate governance guidelines stipulate that the Board should include a balance of executive directors and NEDs. This is an attempt to reduce the unfavourable balance of power held by executive directors. As such, **at least half the Board (excluding the Chair) should consist of independent NEDs.**

The JV would have executive directors from both the JV partner and Rotomyne. It follows that, to balance them, we would need the same amount of NEDs. The recruitment of the NEDs should not be done in haste but rather a planned recruitment of the right individuals. **The NEDs would provide the JV entity with sound, independent business advice and expertise to help the JV prosper and succeed.** They bring their knowledge and experience free from any conflict of interest.

Rotomyne currently has two non-executives and one independent director. However, due to the Board being inundated, **the non-executives for the JV would need to be externally hired.** Achieving a balanced JV Board (in terms of skills, experience and diversity) is difficult, so the proper selection of non-executive directors is important.

During the selection process, it would be a good idea **to list down details of personal and commercial qualities that we would like the potential candidates to possess.** We could use an external third party, such as a specialist recruitment service or a register of suitably qualified individuals, to find suitable candidates. The recruitment of the NEDs for the JV could prove to be expensive. However, the investment would allow the JV to abide by the corporate governance guidelines and bring in new skills.

3a ii - JV corporate governance requirements - Committees

Committees

Assuming that the JV entity would have to meet the requirements of governance (similar to that of the UK), then it would need a Board of Directors and committees. There are three main committees under corporate governance: the nominations committee (director appointments), the audit committee (financial reporting and control), and the remuneration committee (director pay and benefits). These are discussed in detail below.

Nominations committee

A nominations committee would need to be established to ensure proper procedures are in place for the appointments and re-election of the JV's directors. This committee evaluates the directors and examines the skills and characteristics that are needed in Board candidates.

The nominations committee sets the policies surrounding Board appointments, specifying the required skills and experiences that appointees must have to complement the skills and experiences of the current directors. This committee ensures the integrity, diversity and balance (skills, experience and knowledge) of the Board.

Both Rotomyne and the JV partner would need to add an equal number of directors to the JV's Board (based on their equal control). Depending on the size of the JV's Board, Rotomyne would need to put in place several executive (and non-executive) directors.

As Rotomyne's Board is busy, it would not be possible for the current Board members to take on the extra responsibilities of the JV. As such, additional appointments would need to be made by the Rotomyne's Board. Our current nominations committee should lead the recruitment of our JV directors. This should be done after a discussion with the JV partner to understand what director roles are required of us to complement those of the JV partner.

We should also look at our proposed JV executive directors and then list what we would like in terms of skills in our JV's non-executive directors. This is in order to balance the skills on the JV's Board. In addition, we would need to assign some of these non-executive directors and directors to the JV's nominations committee. It should consist of three directors and only two if it is a smaller company. The Chair cannot be a member of this committee, and the majority of this committee should be non-executives.

Audit committee

Based on the corporate governance code, an audit committee would need to be established to oversee the JV's responsibilities related to financial reporting, internal control systems, risk management processes, internal audit functions and the supervision of external audit relationships. It has to be independent and have no bias in its decision-making.

The audit committee is entirely made up of non-executive directors. It normally consists of three independent non-executive directors and only two if it is a smaller company. The chair of the Board should not be a member. Also, at least one member of the audit committee should have recent and relevant financial experience. In addition, the

committee as a whole should have competence relevant to the sector in which the company operates.

Once again, depending on the size of the JV's Board, we would need to put in place either two or three non-executive directors. We currently have three non-executives on Rotomyne's audit committee, but as they are busy, we would have to resort to external hiring for the JV's audit committee.

The audit committee promotes impartiality, objectivity and transparency whilst ensuring that the controls and processes are regularly monitored and reviewed. This is something we should consider when recruiting a new non-executive director to join the JV's audit committee.

Remunerations committee

A remunerations committee would need to be established to determine the pay awards and packages for the JV's executive directors. **This committee would be accountable to the shareholders on any decisions made regarding directors' compensation.** We should structure our remuneration in a way that is transparent and equitable. This would help us gain the trust of our staff and prepare us for future shareholder scrutiny.

The size of the JV's remunerations committee would be three for a large JV Board or two for a smaller one. The committee would be made up of all non-executive directors. As mentioned before, since our existing non-executive directors are stretched, we would have to resort to external hiring for this committee, too.

Additionally, the Chair of the JV's remunerations committee cannot be the same as the Chair of the JV's Board. Also, prior to the appointment as Chair of the JV's remuneration committee, the appointee should have served on a remuneration committee for at least 12 months.

Sub-task (b) - 20%: Political risk management via a JV

3bi - Managing political risks via a joint venture

JVs are a useful way for companies to expand internationally and share risks and returns. For example, in 2023, the French lithium miner Imerys formed a JV with the UK company British Lithium. The JV aims to generate 20,000 tonnes of lithium carbonate a year from granite deposits in Cornwall. Imerys has an 80:20 stake in the JV with British Lithium.

We will seek a JV with a local Drylandian company to help secure and retain the licence to extract lithium and construct a DLE plant. A JV has the benefit of not only sharing

resources but also sharing (and hence reducing) risks. A JV arrangement would be useful to us as Dryland is politically unstable. A JV can reduce political risk by:

- Reducing and safeguarding funding, i.e. the capital invested in the foreign country;
- Helping to acquire and keep hold of the lithium extraction licence;
- Using local knowledge to understand the political risks we face and
- Allowing us to have business ownership/control in a foreign country.

Funding - If our JV partner and we contribute a share of the funding for the venture (i.e. the DLE plant project), the investment at risk for us would be limited to our share of the total investment. Note that the upside would also be reduced because we would have less invested in the potentially lucrative project.

Awarding of a lithium extraction licence - If a local Drylandian company was selected as a JV partner, the chances of us being awarded the extraction licence may be much greater. We also do not have experience with the DLE method. As such, a suitable, high-profile, experienced local JV partner would help in mitigating the risk of us not being awarded the licence (if we had pitched for it alone).

Local knowledge of political risks - The local Drylandian JV partner would have a better understanding of the local political risks and would be able to manage the risks more effectively than we would be able to. For example, the local JV partner may be able to better gauge if the current government would lose the upcoming election.

Additionally, the current government of Dryland might be less inclined to act against the interests of the local JV partner. For example, supporting the JV by expediting planning permission, charging less royalties and tax, and providing subsidies and grants).

Ownership/control of the JV entity - The government may be hesitant to allow us to set up a fully owned company/subsidiary in Dryland. They would be more inclined for us to have ownership if it was a JV entity and partly owned by a locally based JV partner.

We could also have an agreement in place that, over time, we would transfer all or the majority of our stake to the JV partner. This would show the government that we are looking at supporting the country in the long term and not just profiting from it in the short term.

Sub-task (c) - 20%: Sustainability training

3ci - Sustainability training: Evaluation and recommendation

Issue

The DLE plant project would require a greater ethical and social consciousness. Cecilia (HR Director) has suggested a company-wide external two-day course on sustainability, aimed at 100 key staff. Andrey (Production Director) has questioned whether it is worthwhile.

The benefits of sustainability training

Sustainability, which is part of **Corporate Social Responsibility (CSR)**, is a key factor in the future success of the DLE project and our other projects, and as such, we need to be skilled in it. Sustainability also features prominently in our values (e.g. operating in a sustainable manner).

The end consequence of sustainability training should be a company with a good CSR foundation and employees who are all aware of their responsibilities. **Acting socially responsible is the right thing to do, and it also offers reputational advantages, which can also help secure future sustainability-driven lithium extraction projects.**

This is particularly pertinent as **Rotomyne's mission "is to power consumers' lives in a world that is clean, healthy and sustainable"**. Also, in addition to sustainability, ethics are part of our values (e.g. to act ethically and honestly).

Therefore, **all staff (i.e. from research to sales) must be responsible and aware of sustainability, recycling, our carbon footprint, and energy efficiency**. Thus, without the necessary training, they cannot contribute effectively. For example, our research staff need to be trained to ensure that they can develop new environmentally friendly lithium extraction and conversion techniques.

The drawbacks of sustainability training

The importance of providing the sustainability training course does, however, need to be balanced against the costs of doing so. **The costs of providing the course for the proposed 100 employees would be P\$300k (P\$1,500 x 2 days x 100 employees). Thus, the benefits must outweigh the costs of it.**

In addition to this, there is also **the cost of two lost working days** for each employee undertaking the training, which would cost P\$25k (= P\$125 x 2 days x 100 employees).

Therefore, the total cost to Rotomyne for providing the training is P\$325k (= P\$300k + P\$25k). The disruption would impact our operations too.

Recommendation

Since Rotomyne's operating profit was P\$2,741m in 2024 and P\$3,362m in 2023, the costs of providing the training are relatively small for a business of this size, so my recommendation is that sustainability training should be provided to all staff.

Rotomyne operates in a high-profile industry with a high degree of risk and political and public scrutiny. This would be heightened by our DLE plant project. The consequences of employees not acting in a sustainable manner or acting unethically may be very high, for example, in terms of loss of reputation and government action, such as fines or not being awarded lithium extraction licences. Providing sustainability training at relatively little cost may, therefore, be a very cost-effective course of action.

I hope this helps. Please do get in touch if you have any further questions.

Kind regards,

SM

Marking Matrix

Task	Topic	Core activity	%	Marks	Total
1a	Environment protest safeguards (brine mine)	D	55	18	33
1b	Funding: debt & equity factors; recommendation	C	45	15	
2a	SAF analysis (DLE plant)	A	55	18	33
2b	Government relationship management	B	45	15	
3a	JV: corporate governance: committees; NEDs	E	60	20	34
3b	JV: political risk management	B	20	7	
3c	Sustainability training	A	20	7	
					100

Marking guidance

Task 1		
(a)	D. Evaluate and mitigate risk	55%
(b)	C. Recommend financing strategies	45%

D. Evaluate and mitigate risk (18 marks)		55%
1ai - Could you recommend some safeguards (bank, construction firm and protesters)?		18 marks
	No rewardable material	0
Level 1	Little knowledge of safeguards shown and applied.	1-6
Level 2	Some knowledge of safeguards shown. Fair application to the scenario. Some reference to pre-seen.	7-13
Level 3	Good knowledge of safeguards shown. Good application to the scenario. References the pre-seen well.	14-18

C. Recommend financing strategies (15 marks)		45%
1bi - Could you discuss the factors we should consider when choosing between equity and debt as a source of finance for the project?		8 marks
	No rewardable material	0
Level 1	Debt/equity factors: states 1 to 2 factors with little or no discussion, calculations or referencing.	1-3
Level 2	Debt/equity factors: discusses several factors in some detail; references figures; calculates ratios (e.g. gearing).	4-6
Level 3	Debt/equity factors: discusses several factors with good detail; references scenario figures; calculates ratios (e.g. gearing); references pre-seen.	7-8
1bii - Could you recommend with a detailed justification the preferred type of finance?		7 marks
	No rewardable material	0
Level 1	Recommends a funding option, but gives no or little justification.	1-3
Level 2	Recommends a funding option based on appropriateness to the scenario. Justifies in terms of why the option was chosen.	4-5
Level 3	Recommends a funding option based on appropriateness to scenario with more detail. Justifies in terms of why the option was chosen; states why other options were not chosen; references pre-seen.	6-7

Task 2		
(a)	A. Develop business strategy	55%
(b)	B. Evaluate the business ecosystem and business environment	45%

A. Develop business strategy (18 marks)		55%
2ai - Could you analyse the DLE plant opportunity for its suitability, acceptability and feasibility?		9 marks
	No rewardable material	0
Level 1	States suitability, acceptability and feasibility with no or little critique.	1-3
Level 2	Fair evaluation of suitability, acceptability and feasibility; References figures; Relates to the scenario.	4-6
Level 3	Good evaluation of suitability, acceptability and feasibility; References figures; Relates to scenario; References pre-seen; Uses models (e.g. Mendelow's matrix).	7-9

2aii - Could you provide a justified recommendation and action plan for the proposed DLE plant?		9 marks
	No rewardable material	0
Level 1	Recommends whether to pursue. No or little justification. Lists actions.	1-3
Level 2	Recommends whether to pursue based on appropriateness to the scenario. Justifies why it is recommended. Discusses several actions briefly.	4-6
Level 3	Recommends whether to pursue based on appropriateness to scenario with more detail. Justifies in terms of why recommended; states why alternative not chosen; references pre-seen. Discusses several actions in detail.	7-9

B. Evaluate the business ecosystem and business environment (15 marks)		45%
2bi - Could you discuss and recommend suitable approaches to managing our relationship with the government?		15 marks
	No rewardable material	0
Level 1	Lists a few (1 to 2) suitable approaches but provides no or little justification for the recommended approaches.	1-4

Level 2	Explains several approaches, relates to the scenario, recommends approaches to be taken based on appropriateness to the scenario, and justifies them in terms of why the approach was taken.	5-10
Level 3	Explains several approaches, relates to scenario, references the pre-seen, recommends the approaches based on appropriateness to the scenario with more detail, and fully justifies them in terms of why the approach was taken.	11-15

Task 3		
(a)	E. Recommend and maintain a sound control environment	60%
(b)	B. Evaluate the business ecosystem and business environment	20%
(c)	A. Develop business strategy	20%

E. Recommend and maintain a sound control environment (20 marks)		60%
3ai - Could you discuss the JV's corporate governance requirements in regard to NEDs, and how to fulfil such requirements?		10 marks
	No rewardable material	0
Level 1	Little discussion of corporate governance requirements relating to NEDs and how the requirements are fulfilled.	1-3

Level 2	Some discussion of corporate governance requirements relating to NEDs and how the requirements are fulfilled. References pre-seen structure to a fair level. Some application to the scenario.	4-7
Level 3	Good discussion of corporate governance requirements relating to NEDs and how the requirements are fulfilled. References pre-seen structure to a good level. Good application to the scenario.	8-10
3a ii - Could you discuss the JV's corporate governance requirements in regard to committees and how to fulfil such requirements?		10 marks
	No rewardable material	0
Level 1	Little discussion of corporate governance requirements relating to committees and how the requirements are fulfilled.	1-3
Level 2	Some discussion of corporate governance requirements relating to committees and how the requirements are fulfilled. References pre-seen structure to a fair level. Some application to the scenario.	4-7
Level 3	Good discussion of corporate governance requirements relating to committees and how the requirements are fulfilled. References pre-seen structure to a good level. Good application to the scenario.	8-10

B. Evaluate the business ecosystem and business environment (7 marks)		20%
3bi - Could you discuss ways a local company JV would help manage political risks?		7 marks
	No rewardable material	0
Level 1	Lists a few (1 to 2) ways the JV can manage political risks.	1-2
Level 2	Discusses several ways the JV can manage political risks and relates to the scenario.	3-4
Level 3	Discusses several ways the JV can manage political risks, relates to the scenario, and references the pre-seen.	5-7

A. Develop business strategy (7 marks)		20%
3ci - Could you evaluate the need for sustainability training, along with a clear recommendation?		7 marks
	No rewardable material	0
Level 1	States 1 to 2 pros and cons. Recommends whether to train staff. No or little justification.	1-2
Level 2	Evaluates several pros and cons and references figures. Recommends whether to train staff based on appropriateness to the scenario. Justifies in terms of why recommendation is chosen.	3-4

Level 3	Discusses several pros and cons, references figures and mentions CSR. Recommends whether to train staff based on appropriateness to the scenario and pre-seen. Justifies in terms of why recommendation is chosen. Supports with pre-seen.	5-7
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